Start Your Engines

Most of the decisions startups face are not clear-cut. How often should you release a product? Is there a reason to release weekly rather than daily or quarterly or annually? Product releases incur overhead, and so from an efficiency point of view, releasing often leaves less time to devote to building the product. However, waiting too long to release can lead to the ultimate waste: making something that nobody wants.

How much time and energy should companies invest in infrastructure and planning early on in anticipation of success? Spend too much and you waste precious time that could have been spent learning. Spend too little and you may fail to take advantage of early success and cede market leadership to a fast follower.

What should employees spend their days doing? How do we hold people accountable for learning at an organizational level? Traditional departments create incentive structures that keep people focused on excellence in their specialties: marketing, sales, product development. But what if the company's best interests are served by cross-functional collaboration? Startups need organizational structures that combat the extreme uncertainty that is a startup's chief enemy.

The lean manufacturing movement faced similar questions on the factory floor. Their answers are relevant for startups as well, with some modifications.

The critical first question for any lean transformation is: which